Evaluating Nissan Motor's Financial Performance (2022–2024)

By Financial Ratios Analysis:

1. **Liquidity ratios**
2. **activity ratios**
3. **Debt / Leverage ratios**
4. **Profitability ratios**
5. **Market ratios**

3. Consolidated Financial Statements

(1) Consolidated balance sheet

(in millions of yen)

	FY2022 (As of March 31, 2023)	FY2023 (As of March 31, 2024)
Assets		
Current assets		
Cash on hand and in banks	1,798,475	1,896,401
Trade notes and accounts receivable, and contract assets	585,639	635,329
Sales finance receivables	6,480,605	7,418,200
Securities	215,912	235,745
Merchandise and finished goods	941,687	1,279,001
Work in process	90,314	100,166
Raw materials and supplies	671,175	676,438
Other	730,629	796,505
Allowance for doubtful accounts	(146,225)	(154,185)
Total current assets	11,368,211	12,883,600
Fixed assets		
Property, plant and equipment		
Buildings and structures, net	625,495	654,425
Machinery, equipment and vehicles, net	2,619,773	2,939,857
Land	580,651	583,792
Construction in progress	157,648	247,191
Other, net	385,714	338,245
Total property, plant and equipment	4,369,281	4,763,510
Intangible fixed assets	172,477	186,469
Investments and other assets		
Investment securities	1,176,832	1,379,078
Long-term loans receivable	12,680	12,229
Net defined benefit assets	56,106	145,819
Deferred tax assets	192,191	188,411
Other	252,368	298,897
Allowance for doubtful accounts	(7,314)	(7,425)
Total investments and other assets	1,682,863	2,017,009
Total fixed assets	6,224,621	6,966,988
Deferred assets		
Bond issuance costs	5,749	4,563
Total deferred assets	5,749	4,563
Total assets	17,598,581	19,855,151

(in millions of yen)

	FY2022 (As of March 31, 2023)	FY2023 (As of March 31, 2024)
Liabilities		
Current liabilities		
Trade notes and accounts payable	1,912,151	2,229,210
Short-term borrowings	1,101,978	837,266
Current portion of long-term borrowings	1,085,256	1,221,739
Commercial papers	88,000	103,262
Current portion of bonds	556,367	239,032
Lease obligations	50,061	46,784
Accrued expenses	979,369	1,119,093
Accrued warranty costs	99,425	112,678
Other	896,719	1,017,875
Total current liabilities	6,769,326	6,926,939
Long-term liabilities		
Bonds	2,058,096	2,351,216
Long-term borrowings	2,013,251	2,921,628
Lease obligations	86,054	90,466
Deferred tax liabilities	299,256	266,541
Accrued warranty costs	115,544	144,621
Net defined benefit liability	184,851	154,439
Other	457,063	528,758
Total long-term liabilities	5,214,115	6,457,669
Total liabilities	11,983,441	13,384,608
Net assets		
Shareholders' equity		
Common stock	605,814	605,814
Capital surplus	811,209	826,151
Retained earnings	4,047,870	4,285,508
Treasury stock	(136,172)	(111,377)
Total shareholders' equity	5,328,721	5,606,096
Accumulated other comprehensive income		
Unrealized holding gain and loss on securities	2,893	3,500
Unrealized gain and loss from hedging instruments	(3,346)	13,159
Adjustment for revaluation of the accounts of the consolidated subsidiaries based on general price level accounting	(51,079)	(103,135)
Translation adjustments	(111,694)	422,883
Remeasurements of defined benefit plans	(30,846)	39,144
Total accumulated other comprehensive income	(194,072)	375,551
Share subscription rights	273	304
Non-controlling interests	480,218	488,592
Total net assets	5,615,140	6,470,543
Total liabilities and net assets	17,598,581	19,855,151

(2) Consolidated statement of income and consolidated statement of comprehensive income

Consolidated statement of income

(in millions of yen)

	FY2022 (From April 1, 2022 To March 31, 2023)	FY2023 (From April 1, 2023 To March 31, 2024)
Net sales	10,596,695	12,685,716
Cost of sales	8,882,846	10,618,802
Gross profit	1,713,849	2,066,914
Selling, general and administrative expenses		
Advertising expenses	283,505	321,758
Service costs	94,364	69,052
Provision for warranty costs	119,269	146,538
Other selling expenses	92,602	156,258
Salaries and wages	436,403	470,606
Retirement benefit expenses	12,247	27,935
Supplies	1,955	2,046
Depreciation and amortization	58,348	63,013
Provision for doubtful accounts	6,023	44,269
Amortization of goodwill	1,320	1,242
Other	230,704	195,479
Total selling, general and administrative expenses	1,336,740	1,498,196
Operating income	377,109	568,718
Non-operating income		
Interest income	39,276	63,516
Dividends income	83	186
Equity in earnings of affiliates	171,275	113,487
Derivative gain	43,392	44,407
Gain on net monetary position	4,159	79,916
Miscellaneous income	22,405	18,429
Total non-operating income	280,590	319,941
Non-operating expenses		
Interest expense	63,045	78,032
Exchange loss	51,948	69,165
Miscellaneous expenses	27,263	39,301
Total non-operating expenses	142,256	186,498
Ordinary income	515,443	702,161

(in millions of yen)

	FY2022 (From April 1, 2022 To March 31, 2023)	FY2023 (From April 1, 2023 To March 31, 2024)
Special gains		
Gain on sales of fixed assets	22,992	16,880
Compensation income	—	9,207
Other	15,873	1,338
Total special gains	38,865	27,425
Special losses		
Loss on sales of fixed assets	5,793	5,342
Loss on disposal of fixed assets	15,115	15,402
Impairment loss	8,615	58,972
Loss related to litigation	—	40,968
Other	122,349	9,677
Total special losses	151,872	130,361
Income before income taxes	402,436	599,225
Income taxes-current	196,619	233,587
Income taxes-deferred	(35,382)	(83,914)
Total income taxes	161,237	149,673
Net income	241,199	449,552
Net income attributable to non-controlling interests	19,299	22,903
Net income attributable to owners of parent	221,900	426,649

Consolidated statement of comprehensive income

(in millions of yen)

	FY2022 (From April 1, 2022 To March 31, 2023)	FY2023 (From April 1, 2023 To March 31, 2024)
Net income	241,199	449,552
Other comprehensive income		
Unrealized holding gain and loss on securities	140	(701)
Unrealized gain and loss from hedging instruments	(26,000)	24,436
Adjustment for revaluation of the accounts of the consolidated subsidiaries based on general price level accounting	(1,479)	(46,890)
Translation adjustments	300,206	459,520
Remeasurements of defined benefit plans	(24,539)	69,445
The amount related to equity method companies	117,310	86,862
Total other comprehensive income	365,638	592,672
Comprehensive income	606,837	1,042,224
(Breakdown of comprehensive income)		
Comprehensive income attributable to owners of parent	574,799	996,272
Comprehensive income attributable to non-controlling interests	32,038	45,952

3. Consolidated Financial Statements

(1) Consolidated balance sheet

(in millions of yen)

	FY2023 (As of March 31, 2024)	FY2024 (As of March 31, 2025)
Assets		
Current assets		
Cash on hand and in banks	1,896,401	1,961,513
Trade notes and accounts receivable, and contract assets	635,329	577,877
Sales finance receivables	7,418,200	7,239,101
Securities	235,745	236,000
Merchandise and finished goods	1,279,001	1,004,235
Work in process	100,166	80,039
Raw materials and supplies	676,438	588,031
Other	796,505	783,046
Allowance for doubtful accounts	(154,185)	(146,375)
Total current assets	12,883,600	12,323,467
Fixed assets		
Property, plant and equipment		
Buildings and structures, net	654,425	617,430
Machinery, equipment and vehicles, net	2,939,857	2,731,897
Land	583,792	574,186
Construction in progress	247,191	211,367
Other, net	338,245	197,180
Total property, plant and equipment	4,763,510	4,332,060
Intangible fixed assets	186,469	216,554
Investments and other assets		
Investment securities	1,379,078	1,428,641
Long-term loans receivable	12,229	11,191
Net defined benefit assets	145,819	165,954
Deferred tax assets	188,411	163,618
Other	298,897	385,924
Allowance for doubtful accounts	(7,425)	(6,458)
Total investments and other assets	2,017,009	2,148,870
Total fixed assets	6,966,988	6,697,484
Deferred assets		
Bond issuance costs	4,563	3,109
Total deferred assets	4,563	3,109
Total assets	19,855,151	19,024,060

(in millions of yen)

	FY2023 (As of March 31, 2024)	FY2024 (As of March 31, 2025)
Liabilities		
Current liabilities		
Trade notes and accounts payable	2,229,210	2,070,387
Short-term borrowings	837,266	876,104
Current portion of long-term borrowings	1,221,739	1,881,691
Commercial papers	103,262	86,743
Current portion of bonds	239,032	771,205
Lease obligations	46,784	44,400
Accrued expenses	1,119,093	1,092,732
Accrued warranty costs	112,678	117,835
Other	1,017,875	1,129,093
Total current liabilities	6,926,939	8,070,190
Long-term liabilities		
Bonds	2,351,216	1,708,532
Long-term borrowings	2,921,628	2,661,356
Lease obligations	90,466	69,830
Deferred tax liabilities	266,541	230,872
Accrued warranty costs	144,621	147,920
Net defined benefit liability	154,439	164,516
Other	528,758	525,496
Total long-term liabilities	6,457,669	5,508,522
Total liabilities	13,384,608	13,578,712
Net assets		
Shareholders' equity		
Common stock	605,814	605,814
Capital surplus	826,151	825,756
Retained earnings	4,285,508	3,415,475
Treasury stock	(111,377)	(88,284)
Total shareholders' equity	5,606,096	4,758,761
Accumulated other comprehensive income		
Unrealized holding gain and loss on securities	3,500	1,563
Unrealized gain and loss from hedging instruments	13,159	(2,824)
Adjustment for revaluation of the accounts of the consolidated subsidiaries based on general price level accounting	(103,135)	(112,691)
Translation adjustments	422,883	314,407
Remeasurements of defined benefit plans	39,144	(972)
Total accumulated other comprehensive income	375,551	199,483
Share subscription rights	304	299
Non-controlling interests	488,592	486,805
Total net assets	6,470,543	5,445,348
Total liabilities and net assets	19,855,151	19,024,060

(2) Consolidated statement of income and consolidated statement of comprehensive income

Consolidated statement of income

(in millions of yen)

	FY2023 (From April 1, 2023 To March 31, 2024)	FY2024 (From April 1, 2024 To March 31, 2025)
Net sales	12,685,716	12,633,214
Cost of sales	10,618,802	10,939,854
Gross profit	2,066,914	1,693,360
Selling, general and administrative expenses		
Advertising expenses	321,758	347,482
Service costs	69,052	29,829
Provision for warranty costs	146,538	130,518
Other selling expenses	156,258	217,212
Salaries and wages	470,606	492,207
Retirement benefit expenses	27,935	24,392
Supplies	2,046	2,047
Depreciation and amortization	63,013	69,406
Provision for doubtful accounts	44,269	69,448
Amortization of goodwill	1,242	1,031
Other	195,479	239,990
Total selling, general and administrative expenses	1,498,196	1,623,562
Operating income	568,718	69,798
Non-operating income		
Interest income	63,516	53,803
Dividends income	186	689
Equity in earnings of affiliates	113,487	91,299
Derivative gain	44,407	82,805
Gain on net monetary position	79,916	45,160
Miscellaneous income	18,429	25,410
Total non-operating income	319,941	299,166
Non-operating expenses		
Interest expense	78,032	77,369
Exchange loss	69,165	49,040
Credit liquidation costs	17,525	18,138
Miscellaneous expenses	21,776	14,249
Total non-operating expenses	186,498	158,796
Ordinary income	702,161	210,168

(in millions of yen)

	FY2023 (From April 1, 2023 To March 31, 2024)	FY2024 (From April 1, 2024 To March 31, 2025)
Special gains		
Gain on sales of fixed assets	16,880	21,707
Other	10,545	1,078
Total special gains	27,425	22,785
Special losses		
Loss on sales of fixed assets	5,342	12,690
Loss on disposal of fixed assets	15,402	21,972
Impairment loss	58,972	494,935
Other	50,645	116,974
Total special losses	130,361	646,571
Income (loss) before income taxes	599,225	(413,618)
Income taxes-current	233,587	265,142
Income taxes-deferred	(83,914)	(18,675)
Total income taxes	149,673	246,467
Net income (loss)	449,552	(660,085)
Net income attributable to non-controlling interests	22,903	10,813
Net income (loss) attributable to owners of parent	426,649	(670,898)

Consolidated statement of comprehensive income

(in millions of yen)

	FY2023 (From April 1, 2023 To March 31, 2024)	FY2024 (From April 1, 2024 To March 31, 2025)
Net income (loss)	449,552	(660,085)
Other comprehensive income		
Unrealized holding gain and loss on securities	(701)	(1,601)
Unrealized gain and loss from hedging instruments	24,436	(16,225)
Adjustment for revaluation of the accounts of the consolidated subsidiaries based on general price level accounting	(46,890)	(17,912)
Translation adjustments	459,520	(148,162)
Remeasurements of defined benefit plans	69,445	(28,382)
The amount related to equity method companies	86,862	50,765
Total other comprehensive income	592,672	(161,517)
Comprehensive income	1,042,224	(821,602)
(Breakdown of comprehensive income)		
Comprehensive income attributable to owners of parent	996,272	(846,966)
Comprehensive income attributable to non-controlling interests	45,952	25,364

Liquidity ratios

Current ratio= total current assets / total current liabilities

2022 → 11,368,211/6,769,326= **1.68 times**

2023 → 12,883,600/ 6,926,939= **1.86 times**

2024 → 12,323,467/8,070,190= **1.52 times**

The best year is 2023 but company is still able to pay its current liabilities

Quick ratio= current assets- Inventory/ total current Lia

2022 → 9,665,035/6,769,326= **1.42 times**

2023 → 10,827,995/6,926,939= **1.56 times**

2024 → 10,651,162/8,070,190= **1.31 times**

The best year is 2023 but company is still able to pay its current liabilities

- **2023 better than 2022 better than 2024**

Inventory (Raw Materials, WIP, Finished Goods, Merchandise & Supplies**)**

Activity ratios

Inventory turnover= CGS / Inventory

2022 ➞ 8,882,846/1,703,176= **5.21 times**

2023 ➞ 10,618,802/2,055,605= **5.16 times**

2024 ➞ 10,939,854/1,672,305= **6.54 times**

This means that 2024 is the best year because the inventory turnover rate is higher

Average Age of Inventory=365/ Inventory turnover

2022 ➞ 365/5.21= **70 days**

2023 ➞ 365/5.16= **70.7~ 71 days**

2024 ➞ 365/6.54= **55.8~ 56 days**

This means that 2024 is the best year because the average age of inventory is lower

Total Assets turnover=sales/total assets

2022 ➞ 10,596,695/17,598,581 = **0.6 times**

2023 ➞ 12,685,716/19,855,151 = **0.64 times**

2024 ➞ 12,633,214/19,024,060 = **0.66 times**

This means that 2024 is the best year because the Total Assets turnover is higher

Average collection period=AR × 365/ sales

2022 ➞ 585,639×365/10,596,695=**20.17~ 20 days**

2023 ➞ 635,329×365/12,685,716=**18.28~ 18 days**

2024 ➞ 577,877×365/12,633,214=**16.69~ 17 days**

This means that 2024 is the best year because the Average collection period is lower

Average payment period=AP × 365 / purchases

2022 ➞ 1,912,151×365/ 9,221,541 = **76 days**

2023 ➞ 2,229,210×365/10,971,231 = **74 days**

2024 ➞ 2,070,387×365/10,556,554 = **72 days**

This means that 2022 is the best year because the Average payment period is higher

Debt Ratios

Debt ratio = Total liabilities / Total assets

2022 → 11,983,441/17,598,581 = **68%**

2023 → 13,384,604/19,855,151 = **67%**

2024 → 13,578,712/19,024,060 = **71%**

This means that 2023 is better than 2024 & 2022 because the ratio of debt financing is lower

This value indicates that Nissan has financed more than half of its assets with debt, and this value increased in the year 2024 compared to the year 2023, which generates more risk to the company.

Equity multiplier = Total assets / common stock equity

2022 → 17,598,581/5,328,721 = **3.3 times**

2023 → 19,855,151/5,606,096 = **3.54 times**

2024 → 19,024,060/4,758,761 = **3.99 times**

This means that 2022 is the best year because the EM is lower

in 2024 25% of assets financed by shareholders & 75% by debt

Times interest earned ratio = EBIT / Interest expense

2022 → 377,109/63,045 = **5.98 times**

2023 → 568,718/78,032 = **7.28 times**

2024 → 69,798/77,369 = **0.9 times**

The Times Interest Earned ratio improved from 5.98 times in 2022 to 7.28 times in 2023, indicating a strong ability to cover interest expenses

However, in 2024 the ratio dropped significantly to 0.90 times, which means that the company could not fully cover its interest obligations from operating profits. This reflects a high financial risk and may indicate a sharp decline in EBIT or an increase in interest expenses.

Profitability Ratios

Gross profit margin= gross profits / sales

2022➞1,713,849/10,596,695= **16.17%**

2023➞2,066,914/12,685,716= **16.29%**

2024➞1,693,360/12,633,214= **13.4%**

This means that the contribution of units sold to profit in 2022&2023 is better than in 2024

Operating profit margin= operating profits / sales

2022➞377,109/10,596,695= **3.5%**

2023➞568,718/12,685,716= **4.48%**

2024➞69,798/12,633,214= **0.55%**

This means that the operating profit compared to sales in 2022&2023 is better than in 2024

Net profit margin= EACH / sales

2022 → 221,900/10,596,695 = **2.09%**

2023 → 426,649/12,685,716 = **3.36%**

2024 → (670,898)/12,633,214 = **-5.31%**

Profitability improved from 2022 to 2023

But, in 2024 the margin became negative, indicating a net loss, this reflects a decline in financial performance and suggests the need to investigate the reasons behind the loss

Return on total assets =EACH / total assets

Or = net profit margin x total assets turnover

2022 → 221,900/17,598,581 = **1.26%**

2023 → 426,649/19,855,151 = **2.14%**

2024 → (670,898)/ 19,024,060 = **-3.52%**

The return on each pound invested was higher in 2022 compared to 2024, where profitability significantly declined

ROA increased from 2022 to 2023, showing better efficiency in using assets to generate profits

Return on total Equity = EACH / Common Stock Equity

Or=ROA x EM

2022 → 221,900/5,328,721= **4.16%**

2023 → 426,649/5,606,096= **7.6%**

2024 → (670,898)/4,758,761= **-14.09%**

This ratio reflects the return generated from the shareholders invested in funds.

The profitability was stronger in 2022 and 2023 compared to 2024, where the return turned negative, which indicates a loss instead of a return

Market Ratios

Price Earnings (P.E) Ratio = Market price per share of C.S/EPS

2022➞418 / 56.47= **7.4 times**

2023➞554 / 110.47= **5 times**

2024➞480 / (187.08) = **-2.56 times**

In 2022, Nissan's P/E was 7.4 with moderate EPS growth, indicating reasonable returns for investors.

In 2023, EPS grew strongly (from 56.67 ¥ → 110.47 ¥), while P/E decreased to 5, showing high growth and better value for investors.

In 2024, the company recorded a net loss, EPS became negative (–187.08¥) and P/E turned negative (–2.56). This indicates high risk, as investors cannot rely on profits for valuation.

Price /Book Value ratio = Market price per share/BV per share

2022➞418 / 1,170= **0.35 times**

2023➞554 / 1,311= **0.42 times**

2024➞480 / 1,599= **0.3 times**

The market price of the stock was lower than the book value per share in all three years, which indicates that investors were not willing to pay even the company's net asset value per share.

This may reflect low market confidence and concerns about the company's future performance. The gap was slightly better in 2022 and 2023 than in 2024, which means investor sentiment declined further in 2024

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